

Council Questions
April 14, 2026 – City Council Meeting

ITEM 3.1 Fiscal Year 2026-27 Capital Improvement Program

1. Is the San Antonio area being considered for the scooter pilot?

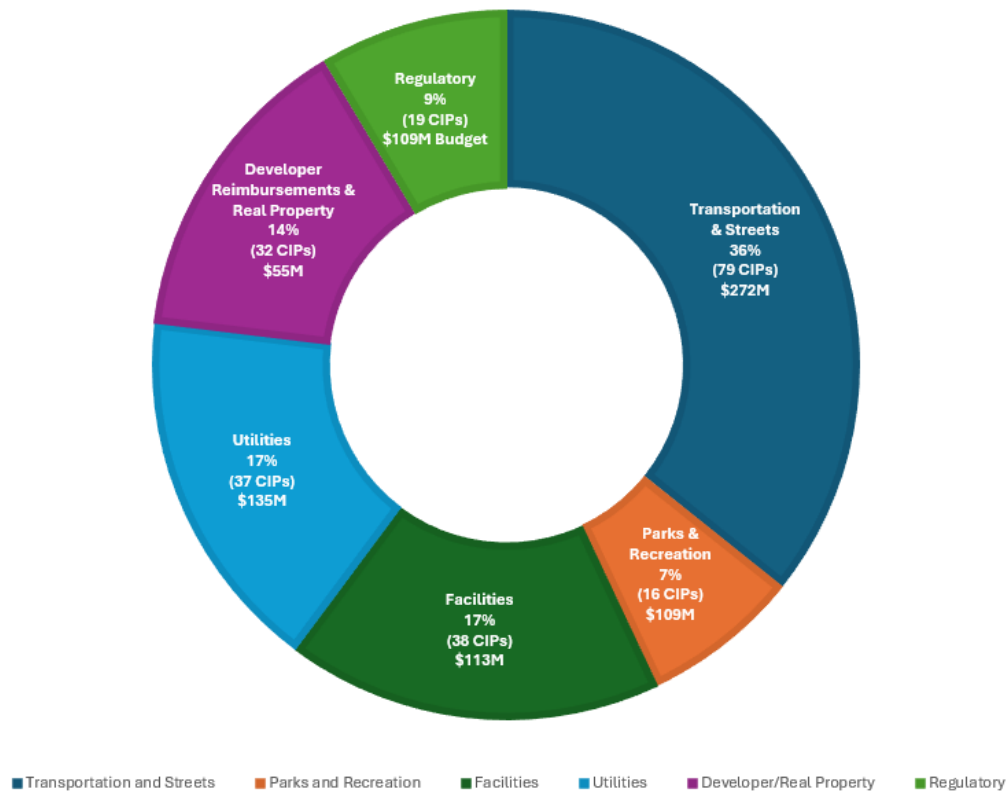
Yes, the San Antonio area is being considered for the scooter share pilot. Staff has preliminarily identified potential Citywide scooter parking hub locations and will finalize them, along with other designated parking areas, once the pilot program is ready to launch.

2. **Transportation & Streets:** CIP shows about 36% of investment going toward Transportation & Streets. Could staff provide a breakdown of how much of that is supporting (1) active transportation, (2) Complete Streets, and (3) Green Complete Streets outcomes—separately for each category—including the number of projects, the share of total transportation spending, and the total budget associated with each?

The Transportation & Streets CIP supports three project categories: Active Transportation, Complete Streets, and Transportation. Transportation projects are those that support traffic infrastructure, such as traffic signal improvements, curbs and sidewalks repair, and City bridges and culverts repairs. Complete Streets projects can include a greening component, and a separate subcategory of this type of project is not tracked.

The table below provides a breakdown of the Transportation and Streets CIPs by subcategory, including budget dollars, percent of budget, and project count. The budget for this category has been corrected as shown in the table below and illustrated in Revised Figure 1, which replaces Figure 1 in the Council Report. The number of projects remains at 79, with the total spend being revised from \$320 million to \$272 million.

Subcategory	Budget	% of Transportation spend	Project Count
Active Transportation	\$33,544	12%	9
Complete Streets	\$149,467	55%	25
Transportation	\$89,203	33%	45
Totals:	\$272,214	100%	79



Revised Figure 1: Active Public Works CIP Projects by Category (page 3 of memo)

3. **Parks & Recreation:** For the Parks and Recreation category, could staff provide a breakdown of funding between new park creation versus renovation or maintenance of existing parks? And within that, how much investment is specifically supporting biodiversity and urban forest expansion, and how many projects fall into those categories?

There are currently 290 active CIP projects, of which 221 are managed by the Public Works Department (PWD). As this report is primarily focused on CIPs managed by PWD, only those 221 are presented in the data.

Within the Parks and Recreation category, there are 47 CIP projects: PWD manages 16, and the remaining 31 are managed by the Community Services Department (CSD). The projects under PWD are primarily new parks or new elements to an existing park, while projects under CSD are improvements to and/or maintenance of existing infrastructure.

Below is a breakdown of all 47 Parks and Recreation CIPs by project type (new or renovation/maintenance), budget, and the number of projects and their budgets with Biodiversity and Urban Forestry components.

Type	Budget	Project Count	Projects with Biodiversity/ Urban Forest Components	
			Budget	Count
New	\$31,636	8	\$22,355	6
Renovation/Maintenance	\$93,292	39	\$8,915	10

4. **Green Complete Streets:** Within the City’s Green Complete Streets projects, how many are contributing toward the City’s MRP 3.0 stormwater requirements, and to what extent? And do any of these projects overlap with parks or open spaces, such as linear parks or pocket parks, and is that being tracked within the CIP?

Public Works is currently advancing several active Complete Streets projects, including Moffett Boulevard Complete Streets (24-03), El Monte Corridor Improvements (21-38), Middlefield Road Complete Streets (22-01), and Miramonte Avenue Complete Streets (25-28). At this time, only the Moffett Boulevard and El Monte Corridor Improvements projects have been identified to incorporate green stormwater infrastructure (GSI) that will contribute toward the City’s MRP 3.0 stormwater requirements. The remaining active complete streets projects are progressing in the design phase and are being evaluated to determine whether GSI will be feasible and if so, whether those improvements could count toward the City’s stormwater requirements.

In addition, there are several other projects without “Complete Streets” in the title that will contribute towards the City’s MRP 3.0 stormwater requirements, including the Castro and Evelyn Improvements (21-35), Shoreline Boulevard Active Transportation and Utilities Improvements (16-58 & 18-43), and Plymouth/Space Park Realignment (20-40).

For street projects, green street infrastructure is incorporated into the landscape strip between the curb and the sidewalk. There are no current plans to convert linear parks or pocket parks to GSI infrastructure.

To organize the City’s approach to address MRP 3.0 stormwater requirements, staff is updating the Green Stormwater Infrastructure Plan under CIP 26-36 to identify and catalog potential GSI opportunities within City and regional projects.

5. **Holistic Citywide Review of Street Parking Regulations (2024):** could staff share where that study is publicly available or how the public can access it? And how will those findings be used going forward? And what were the key updates or changes that resulted from that review, particularly as they relate to street design, access, or curb management?

The Holistic Citywide Review of Street Parking Regulations was completed on [June 11, 2024](#), during a Council Study Session. The review included a discussion about upcoming challenges related to on-street parking supply, and recommendations were based on the review of parking regulations. While no specific design, access, or curb management policies resulted from the review, it included a summary of existing street parking restrictions and maps identifying several key parking regulations. All are available as attachments to the June 2024 Study Session memo.

Additionally, staff will develop a future CIP for a Street Parking and Policy Study that would include a reevaluation of the Residential Permit Parking Program, updates to Municipal Code regulations, and an overview of general street parking policies.

6. **Objective Design Standards:** Is there a plan to incorporate stakeholder input through a working group or advisory structure—similar to how the City engages advisory bodies on transportation or other policy areas?

Public Works has existing standard details for a variety of public improvements. These details range from sidewalks and driveways to manholes and fire hydrants. The details provide consistency and certainty in applying improvements, thereby improving efficiency. This includes both dimensions of improvement and construction materials. Staff recognizes that several of the standard details, specifically those related to streetscape, were developed decades ago and need to be refreshed and updated. Some examples of existing details to be updated include vehicle and bike lane widths, sightline visibility, sidewalk and landscape strip dimensions. In some cases, a new detail is needed to address new elements being introduced, such as green stormwater infrastructure and duck-outs. Staff will be using a variety of standards and guidance documents for the streetscape standard details, including but not limited to the National Association of City Transportation Officials (NACTO), American Association of State Highway and Transportation Officials (AASHTO), California Department of Transportation (Caltrans), Valley Transportation Authority (VTA), and Public Right-of-Way Accessibility Guidelines (PROWAG).

Over the past 10 years, several Precise Plans have been adopted by Council with streetscape standards that govern and override the standard details in terms of dimensions. The update effort is to provide focused revisions to those streetscape details for streets/areas not covered by Precise Plans. Staff will use the previously mentioned guidance documents and, where applicable, draw on streetscapes from previously approved Precise Plans. In many instances, the existing right-of-way becomes a limiting factor for incorporating additional or increased streetscape elements, and the effort is to identify how to reallocate the existing area for the various needs.

Staff's past practice for updating standard details has been to revise and publish details as needed, using their expertise. Recognizing that some standard details identify important streetscape elements and that stakeholders and the community are interested in these details, staff will conduct outreach on the standard details related to streetscape. The process will include obtaining feedback from the Parks and Recreation Commission, the Bicycle/Pedestrian Advisory Committee, and the Council Transportation Committee. The public will be able to provide feedback at each of those meetings, where staff will work with stakeholders and the City's Communications Department to provide notice. Staff will review the feedback received, identify any needed revisions or new standard details, and publish the details. As this will be a more robust process from staff's past practices, staff expect this effort to be completed in early 2028.

Pavement Management Program Update

7. As pavement projects are one of the City's largest and most consistent investments in the public right-of-way, will they be used as an opportunity to implement broader City goals around livability, walkability, bikeability, and climate resiliency—including biodiversity—not just to maintain existing conditions?

The City's pavement program, including the Annual Pavement Maintenance CIP, receives funding from various sources, including Gas Tax, Vehicle Registration Fees, Measure B Sales Tax, SB 1, and Measure G. Several of these sources, including gas tax, SB 1, and Measure B, restrict the use of funds to paving improvements.

As funding allows, and with Council's authorization, the City regularly allocates other unrestricted funds, such as Construction Tax, Conveyance Tax, and CIP Reserve funds, to support other City goals, including active transportation and climate resiliency features, such as new and improved pedestrian crossings and new and improved bicycle infrastructure. Projects under study or design, such as Miramonte (Castro to El Camino Real), are exploring opportunities to provide additional landscape and/or green stormwater infrastructure; Council may allocate additional funding to these elements in addition to the paving monies.

8. We have multiple plans approaching completion this year—the Biodiversity and Urban Forestry Plan, Parks and Recreation Plan, and Active Transportation Plan—all of which include elements that need to be implemented in the public right-of-way. These plans all rely on the same limited space in the public right-of-way, so they need to be coordinated together up front rather than implemented separately. How is the City using these plans to guide where improvements are incorporated into pavement projects?

These elements will need to be coordinated and prioritized with the Council through a future CIP effort once the plans are adopted. Staff will review each plan and develop a recommended approach to identifying priorities. Recognizing the previously mentioned restrictions on the use of paving funding for paving alone, staff will need to identify other unrestricted funding to incorporate into either paving projects or standalone projects to achieve goals from the other plans, where feasible. Each plan has different goals, and the overlap between the plans and the pavement project varies.

The Biodiversity and Urban Forestry Plan will establish an Implementation Framework that includes priorities and initial steps. Some of these initial steps will involve tree planting and other improvements in the public right-of-way. As paving projects are scoped and funded, the Public Works Department staff and Community Services Department staff will coordinate to identify Plan priorities that can be implemented through paving projects or independently.

The Active Transportation Plan will establish prioritized projects to best reach the City's active transportation goals and objectives for both intersection improvements and street segment improvements. This plan will serve as the City's roadmap for prioritizing and programming active transportation capital projects.

Staff will continue to seek out opportunities to deliver active transportation improvements through pavement CIPs as funding allows. As part of last year's 5-year CIP effort, staff began incorporating several active transportation improvements into the CIP to deliver focused projects aligned with the City Council's mobility goals.

The Parks and Recreation Strategic Plan focuses on parks, trails, and open space. There is limited overlap between these areas and the paved right-of-way. As trail projects (such as the Stevens Creek Trail Extension) are programmed in the CIP, Public Works and CSD staff will coordinate to identify opportunities to incorporate elements that further the City Council's goals.

The upcoming Broadband Fiber plan being developed will also require coordination, as fiber infrastructure is typically located within the public right-of-way and therefore competes for space with below-grade utilities.

Coordination across all the plans will be a concerted effort that will require staff resources to prioritize strategic planning, discuss with the City Council, and identify implementation efforts.

9. Does pavement evaluation include analysis to identify where excess vehicle capacity could be reallocated, for example, to support bike lanes, pedestrian facilities, or small open spaces such as linear parks?

The Pavement Management Program does not evaluate roadway capacity or include analyses to identify opportunities for reallocating excess roadway capacity. The pavement evaluation focuses on the pavement's existing condition and identifies the most cost-effective treatment options to protect this critical asset. Capacity analysis may be conducted separately as part of individual projects, as appropriate, to determine how all modes of transportation can be accommodated while maintaining compliance with design standards and staying within the constraints of the existing right-of-way and available funding. The forthcoming Active Transportation Plan provides guidance on which corridors are appropriate for evaluation.

10. The City has a well-developed asset management system for pavement through PCI. Can/will the City develop a comparable system to track the condition and maintenance needs of bicycle facilities, sidewalks, and other public realm assets, such as tree canopy, biodiversity, green infrastructure, and small open spaces, like linear or pocket parks?

The City uses StreetSaver software to determine pavement conditions and plan for future pavement maintenance and restoration needs. This evaluation informs the City on which areas to prioritize for pavement funding. The StreetSaver evaluation results in a pavement management plan. A pavement management plan is required by the Metropolitan Transportation Commission (MTC, our regional transportation agency) to receive pavement funding distributed by MTC.

With the recent investment in a new Computerized Maintenance Management System (CMMS), the City is taking an important step toward expanding the same level of rigor and consistency established through the pavement management program to a broader range of public assets. The CMMS will provide a centralized platform for tracking work orders, asset inventories, maintenance history, and performance across parks, forestry, and public works operations, including utilities, facilities, and streets.

As the system is implemented over the next year, staff will develop standardized asset inventories and condition-assessment approaches for a variety of infrastructure types. These can include bicycle facilities, sidewalks, urban forestry, and green infrastructure. Staff will evaluate the level of effort to incorporate these and other elements into a regular assessment. The goal is to establish consistent condition ratings, lifecycle tracking, and data-driven prioritization.

Developing comprehensive condition indices for more complex and living systems, such as tree canopy, biodiversity, and green infrastructure, will require a phased approach over time. However, the CMMS provides the foundational tool needed to support that evolution.

Draft Recommended Fiscal Year 2026–27 Projects

11. Are priorities such as biodiversity, park expansion (e.g., linear or pocket parks), and Complete Streets expected to continue being implemented through individual projects, or are there plans to establish more dedicated, programmatic funding approaches?

At this time, Biodiversity and park expansion (as outlined in the Parks and Recreation Strategic Plan) are primarily being advanced through specific capital projects or operating budget adjustments as opportunities arise. As staff begin implementing both the Biodiversity and Urban Forest Plan and the Parks and Recreation Strategic Plan, a different approach may be determined based on initial experiences compared to the existing processes. In addition, both the Biodiversity and Urban Forest Plan and the Parks and Recreation Strategic Plan will be supported by regularly updated dashboards that track progress on identified actions.

Once the Citywide PCI exceeds 70, funding sources such as SB-1, 2016 Measure B, and the Vehicle License Fee will be available for Complete Streets projects. The current PCI restricts the use of these various funds to pavement maintenance. Staff have noted that the expected revenues from several funding sources are trending flat. Coupled with the magnitude of the pavement program's funding needs, staff anticipate that pavement conditions will continue to decline without another funding source to supplement it.

12. How does the City determine when and where to invest in these areas in the absence of a dedicated program or funding structure?

Without a dedicated program or funding structure, the City directs improvements toward areas identified as priorities in its various master plans, including the Biodiversity and Urban Forest Plan, Parks and Recreation Strategic Plan, Comprehensive Modal Plan (Access MV), and Active Transportation Plan. These plans have been developed or are currently being finalized, and each has involved extensive community outreach and engagement to better understand community needs and priorities.

13. GreenSpacesMV raised similar recommendations in their November 11, 2025, comment letter on the Biodiversity and Urban Forest Plan, including the need for a dedicated CIP line item and more consistent funding—how are those recommendations being considered in the context of the CIP?

See response to Question 11: “Are priorities such as biodiversity, park expansion, and Complete Streets...?” Additionally, there is currently specific funding in the active project, Biennial Median/Roadway Landscape Renovations (24-20), that is set aside for biodiverse plantings and landscaping throughout the City.

14. More broadly, how is the City ensuring that priorities like biodiversity, park expansion, and Complete Streets are implemented in a coordinated and consistent way, rather than opportunistically across individual projects?

See the previous response related to multiple plans approaching completion this year under the “Pavement Management Program Update” section.

Fiscal Year 2026-27 Discretionary Projects

15. For the ATI – Evelyn Avenue Bikeway Study (27-24), is the City considering a broader Green Complete Streets approach—integrating elements such as green stormwater infrastructure, shade canopy, and pedestrian improvements—in addition to the bikeway?

The upcoming Evelyn Avenue Bikeway Study will evaluate bikeway and pedestrian improvements, along with various green street elements. These elements may include shade canopy, bioretention, and permeable landscaped areas. As part of the study, the appropriate green street elements will be identified and refined based on corridor needs, project goals, and cost and implementation feasibility.

16. And is there coordination with the City of Sunnyvale to ensure this corridor functions as a continuous, connected facility across jurisdictional boundaries?

As part of the Evelyn Bikeway Study, staff will coordinate with the City of Sunnyvale to ensure the bikeway is connected and continuous, providing a seamless user experience.

17. Regarding Project 27-27 Updating Standard Details for Roadways: How will Council and the public have input into Objective Design Standards/Standard Details for roadways?

See previous response related to standard details under the bullet point “Objective Design Standards – Question 6.”

18. As walking depends primarily on having places nearby to go (i.e., mixed-use land uses), shouldn’t one also take the ATP to the EPC for their comments, as they focus on land use? Shouldn’t one also take the ATP to the Parks and Rec Commission, as they focus on access to parks and on potential linear parks?

Currently, the ATP is scheduled to go to BPAC, CTC, and Council. Notification of the ATP will also be provided to EPC and the Parks and Recreation Commission so they can provide their feedback during BPAC, CTC, and Council meetings.

19. What will the Limited Term Analyst and consultant help do for Sustainability?

The limited-term analyst focuses on opportunities for both City operations and the community to electrify their buildings and shift their transportation to carbon-free sources of energy, saving on energy costs. The analyst has led the following recent projects: fleet electrification and installation of municipal EV charging infrastructure, installation of heat pump water heaters in City facilities, and support of the heat pump water heater incentive program for residents.

In the coming year, the analyst will focus on expanding the heat pump water heater rebate program, launching a heat pump rebate program, and supporting the Air District's launch of rules 9-4 and 9-6 which will prohibit the sale of non-electric appliances for space and water heating, through participation in a regional work-group of cities and partner organizations to identify implementation barriers and supportive policies and programs cities can adopt to ensure successful implementation. Additionally, the analyst will continue to collaborate with Public Works on fleet electrification, securing adequate power for municipal facilities to allow for additional EV infrastructure, and launching an EV charging program for multi-family properties. This collaborative contribution from the Sustainability Division is essential to augment the capacity and expertise in Public Works and to maintain the focus to drive projects forward. The analyst will also represent the City with the countywide Climate Collaborative, serving on the financing committee.

20. Page 3 mentions "large facility projects tend to be more complex, requiring significant public outreach what do you consider "significant public outreach"?"

Significant public outreach would include projects with one or more community meetings, as well as review by advisory bodies. Depending on the project scope, outreach could include having several community meetings and a review by the Parks and Recreation Commission and/or Bicycle/Pedestrian Advisory Committee. Some examples of these projects have included large city-wide studies or plans, infrastructure projects that introduce new elements, exterior renovations or new City buildings, and new parks.

21. Page 5 pickleball solution - do we know how many pickleball players there are in Mountain View?

Staff does not track pickleball players by residency. Due to the drop-in nature of the activity, staff do not have a way to track all the users of the facilities.

22. Is the City spending a disproportionate amount of time addressing a small niche group?

Based on the response above regarding residency, it is not easy to quantify the group's size. The current pickleball courts at Rengstorff Park are heavily used.

23. Holistic citywide review of street parking was completed in 2024. Why is it on this list?

The Holistic Citywide Review of Street Parking Regulations is included in Table 1 (Page 4 of the report) to provide City Council with a status update of Public Works' progress on Council Work Plan projects for the past two workplan cycles.

24. Will safe routes to school include a Component for electric bikes?

The City's Safe Routes to School program includes electric bike education as part of school safety assemblies, school-specific bike rodeos, and citywide events. For the upcoming school year (FY 2026–27), the program will work closely with the Mountain View Whisman School District and the Mountain View–Los Altos Union High School District to host regular workshops, including e-bike-focused sessions and hands-on training/classroom-based education for middle school and high school students. Along with the Safe Routes to School program, the Mountain View Police Department is also providing e-bike education through informational presentations, flyers, and videos.

25. Will the active transportation plan come before the CTC?

The Active Transportation Plan is scheduled for CTC review on June 16, 2026.

26. On page 4, you mentioned the Castro Street grade separation. Would it be less confusing to call up the Rengstorff grade St. project?

On page 6 of the report, staff provided an update on the Castro Street Grade Separation Project, as this is included in the Fiscal Year 2023-25 Council Work Plan. While not on the Council Work Plan, the Rengstorff Grade Separation project is a priority project that staff is actively coordinating on/progressing with Caltrain. During Council's next evaluation of the Work Plan, Council can direct staff to replace the Castro Street Grade Separation with the Rengstorff Avenue Grade Separation Project in the Council Work Plan.

27. Page 6 - the citywide travel demand model update wouldn't include the City transportation demand management ordinance, or the active transportation plan. Wouldn't it be more efficient to have it done under 1 project?

The Travel Demand Model (Model) is an analysis tool that provides data to support planning efforts, estimates future travel, forecasts travel behavior, and plans for future transportation needs. The model is run periodically, especially when large areas of the City are evaluated, such as with a General Plan update.

The TDM and ATP are more focused planning documents.

- The TDM focuses on methods to reduce single occupancy dependency on vehicles and will provide consistent tools and reporting methodology for developers to utilize.
- The ATP focuses on how and where to include active transportation infrastructure, such as bike lanes, pedestrian crossings, and trails, into the City's network.

28. Under the objective design standards, would it help make the street projects more cost-efficient and common sense, versus over-engineering and taking more time to build?

See previous response related to standard details under the bullet point "Objective Design Standards – Question 6".

29. Will the active transportation plan include gathering data to indicate if there's sufficient bike riders/demand to warrant spending the money?

The upcoming Active Transportation Plan (ATP) will identify next-generation projects and programs based on existing conditions; stakeholder and BPAC feedback; and CTC-approved scoring criteria. Each capital project identified in the upcoming ATP will require data collection, including existing vehicle, pedestrian, and bicycle counts; parking counts; collision analysis; and other data as needed in order to formulate recommendations for proceeding with design.

30. On Page 10 of the staff report concerning transportation funds, is there something about the governor holding off on giving vehicle registration fees?

As of today, the Governor's office has not formally announced a pause on any gas taxes.

31. Page 12 of staff report #3, the 5th bullet, should it say to improve the CPC's current PCI rating, not maintain, because if we maintain it's 69 and it's below the 70-71 we wanted to get to?

The bullet should read “Pavement rehabilitation, reconstruction, and preventative maintenance as needed to address the City’s current PCI rating (including the integration of bicycle and pedestrian improvements),” as a criteria for prioritizing CIP unrestricted funds, as approved by Council from the 2021 CIP process (Fiscal Year 2021-22 through Fiscal Year 2025-26, reaffirmed on April 3, 2023 (Fiscal year 2023-24 through Fiscal year 2027-28 CIP), April 9, 2024 (Fiscal year 2024-25 CIP) and March 25, 2025 (Fiscal Year 2025-26 Through Fiscal year 2029-30 CIP).

32. When was the last time it was discussed that projects need to be closed within five years? That seems long.

In the upcoming Council Finance Committee (CFC) meeting, staff is planning to propose updates to Council Policy A-11 regarding Capital Improvement Program (CIP) policies. The proposal would restrict both annual and biennial CIP budgets to expenditures within their intended program period and require projects to be closed out within 5 years.

The five-year timeline is primarily intended for biennial CIP projects, which typically cover two years of expenditure. This allows additional time for project closeout activities such as final invoices and wrap-up work. This approach will help reduce the number of funded projects that may become outdated and will free up funding for higher-priority projects.

These proposed changes will be presented at the upcoming CFC meeting and then brought to Council for direction. We welcome feedback and discussion when this is brought to the CFC and City Council meetings.

33. On the non-discretionary projects list, 27-10 would include any funding for traffic signal upgrades or any other CIP project. Include funding to upgrade and modernize the Traffic signals?

The Annual Traffic Infrastructure Maintenance/NTMP Improvements (27-10) does not include full intersection upgrades but does fund the replacement of components such as traffic signal controllers, traffic detector loops, back-up batteries, LED signal lights, and radar speed signs. There is currently an active CIP, Biennial Intersection Traffic Signal System – Major Replacements and Upgrades (26-15) that will upgrade and modernize the traffic signal system at Moffett Boulevard and Central Avenue. This biennial project will be recommended again in fiscal year 2027-28.

34. Table 5, the El Camino Real bike and ped improvements, did the state fund the bike lane project?

The pavement improvements on El Camino Real were funded by Caltrans, and the curb ramps and bike lane improvements were funded by the City through the El Camino Real Pedestrian and Bicycle Improvements (20-61 and 22-29) project. The City project was funded with Construction/Conveyance Tax (\$1.9M), Transportation Reserve (\$1.8M), and 2016 Santa Clara Valley Transportation Authority Measure B Fund (\$4M). This project was implemented as part of the California Department of Transportation (Caltrans)-funded pavement maintenance project along El Camino Real.

35. When one sees the four-digit number of a CIP project, are the 1st 2 numbers the year that it was proposed?

The first two numbers of a CIP project are the fiscal year the project was/is adopted (i.e., 27-XX CIP will be recommended for adoption in June 2026).

36. If that's the case, there are many projects dating back to 2016. Is there a process for reviewing these projects after 2 or 3 years to see if they're still relevant?

All projects are reviewed annually to determine whether they can be closed in June. Some older projects remain for various reasons, including open contracts, incomplete tasks (e.g., environmental mitigation, which typically includes 5 years of monitoring), and/or grant reimbursements.

37. Projects that are older and rolled forward, are they reviewed to see if we can make them more efficient and cost less?

Yes, all projects that “roll forward” are reviewed by the project manager and the CIP Team for relevance, timing, scope, and funding.

38. Reading the Roll forward discretionary list and on the other list, don't see any projects for modernizing the Performing Arts Center. Is that located somewhere else in these CIP projects?

There is an active CIP, Mountain View Center for Performing Arts Upgrades to Facility (19-52), listed in Attachment #1, Active Capital Improvement Program Projects. This project will upgrade the CPA's lighting and other equipment, complete various restoration projects, enhance the facility's marketability, and ensure the safety of all patrons, crew, and staff.

39. Please summarize how the 222 projects were reduced to 22. Is that correct?

There are currently 290 active projects, of which 221 are managed by the Public Works Department. Staff is recommending closing 42 new projects and 72 active projects for the fiscal year 2026-27. This will bring our active project count to 260.

40. What does attachment 2 supposed to represent? Did not see a label on it.

The lack of a title or reference is an inadvertent error. This attachment provides Council with a status report on the projects listed in last year's Study Session memo that were programmed to begin this fiscal year 2025-26.

41. On the report Pavement management program update Attachment 3, it is recommended that preventative maintenance will save money in the long run, because the City has deferred maintenance on the roads. Is there a way to quantify how much extra was spent to bring it up to the current expectations of 70 or higher?

The current PCI of the City's road network is 67. Mountain View has not reached a PCI of 70. In 2024, it was identified that the City would need to spend approximately \$14M over the next five consecutive years to increase the PCI by 5 points. Staff will engage a consultant, and the evaluation and analysis of how to achieve a PCI of 70 will be completed in the fall of 2026, including the effects of prioritizing major corridors over residential streets.

42. If reading the graph figure 1, payment investment PCI status, is that if one doesn't fund it at a reasonable level, the PCI is going to get down to 64, how can that be justified?

It is correct that if pavement maintenance is not funded at higher levels, the PCI will continue to decline. The City's pavement network declines by 2 to 3 PCI points per year due to regular wear, assuming most streets are in good condition. To offset this decline, yearly maintenance is required. The previous 2024 pavement management report identified that a minimum of \$8M per year is needed to maintain the existing PCI, and \$14M per year for 5 years is needed to increase the PCI by 5 points. The expected trend in the dedicated pavement funding sources shown in Figure 1 indicates approximately \$6.5M per year. As part of the consultant support services to be retained for PCI analysis, an update on the costs will be provided as each project seeks approval to bid.

43. How many Transportation Planning staff does the City currently have? (How many budgeted positions are total, and how many are currently vacant?)

There are currently five budgeted staff members in the Transportation Section. Three positions are currently vacant. The new Chief Transportation Officer position is in the recruitment planning phase, and the executive recruitment firm is currently working on the brochure. In addition, the new Transportation Manager starts on April 27. The two junior/assistant/associate Transportation Planner positions are having their job descriptions finalized before recruitment can start.

44. For NB Shoreline/101 Offramp Realignment, Construction (20-37), what are the "various funds" used to increase funding by \$9,804,000?

At the time of this memo, the funding increase was to include both the Shoreline Park Community Fund and the Shoreline Community Public Benefit Fund. As of now, the increased funding of \$9,804,000 will only include the Shoreline Community Public Benefit Fund.

45. Can staff remind the Council whether the Shoreline/101 Offramp Realignment project includes bicycle facilities? If so, has a Design Standard Decision Document (DSDD) been prepared?

Yes, the project does include bicycle facilities, and a DSDD was submitted. It was approved by Caltrans.

46. What is the status of Underground Utilities at 1020 Terra Bella (24-38)?

Council provided directions during the Fiscal Year 2025-26 CIP development to close this project and reallocate the funds to other projects. The project's closeout was missed last fiscal year and will occur this fiscal year.

47. What is the status of the Terra Bella Avenue Bikeway Feasibility Study (22-30)?

A user survey has been completed. Due to resourcing constraints, staff is evaluating when this item can be brought forward to advisory boards and the City Council.

48. Very excited for the Standard Details Update (27-27). Can staff share more information about the project scope? What will be the plan to solicit and incorporate stakeholder input?

See previous response related to standard details under the bullet point "Objective Design Standards – Question 6."

49. What specific guidance or standards will be used to inform the Standard Details Update (27-27)?

See previous response related to standard details under “Objective Design Standards – Question 6.”

50. Will Standard Details Update (27-27) include or consider street tree placement, canopy goals, and other urban forestry considerations? How will this intersect with visibility hazard evaluation?

See previous response related to standard details under “Objective Design Standards – Question 6.”

51. Table 1: How much is the *Safe Routes to Schools program*? Have we asked the School District to contribute to this?

The annual cost of the Safe Routes to School program for Fiscal Year 2025–26 is \$233,000. The program is currently funded through the City’s operating fund and VTA’s 2016 Measure B Education and Encouragement funds. The school districts have committed to providing instructional time to support Safe Routes to School safety assemblies, bike rodeos, and student travel surveys. They do not provide direct funding at this time.

For the FY 2026–27 school year, staff will begin advancing formal adoption of the Safe Routes to School program. As part of this effort, staff will work closely with the Mountain View school districts to develop a sustainable, long-term funding strategy, including determining cost-sharing contributions between the City and the school districts.

52. Table 1: Objective Design Standards. This is the amount for Public Works. Approximately how much is needed for Planning?

The proposed budget includes \$175,000 for the objective design standards Council Work Plan item being worked on by the Community Development Department. Reference to this can be found on page 17 of the staff report.

53. Do we have an employee in Public Works who specializes in public outreach? How do they work with the Communications staff in the City Manager's Office?

There is no single Public Works staff member dedicated to public outreach. Instead, each project manager coordinates outreach effort needs based on the project and best practices. This includes working with the Communications staff to publish social media notifications, if needed. The level of public outreach depends on the project's scope. Maintenance projects (such as annual sidewalk maintenance) may involve minimal outreach, while projects incorporating a new component (such as a new park) would involve more robust outreach.

54. Table 5: Where are the *Water Main/Service Line Replacements* and the *Sanitary Sewer Main Replacements*? Is part of this project used to cover emergency pipeline breaks?

The Annual Water and Sewer Main Replacements, Projects 25-08 and 25-09, are currently in design as approved by Council on May 13, 2025. These projects will replace approximately 6,500 linear feet of water mains and 5,000 linear feet of sewer mains on the following streets:

- Pettis Avenue, between El Camino Real and Villa Street—water and sewer main replacements
- Villa Street, between Escuela Avenue and Mountain View Avenue—water and sewer main replacements
- Lauella Court—water main replacement
- Whisman Station Drive and Minaret Avenue—water main installation and replacement

Replacement locations are selected based on pipe age, maintenance records, failure history, and coordination with planned pavement projects. Funding may be utilized to address emergency main breaks as needed, with Council approval as required.

55. Table 5: When is the Miramonte Complete Streets happening?

The Miramonte Avenue Improvements, Phase I – Cuesta Drive to Castro Street (20-01) is currently under construction and is anticipated to be completed in the fall of 2026. Phase II of the project between Castro Street and El Camino Real (25-28) is currently in design, with design completion anticipated in fall 2026 and construction beginning in spring 2027.

56. Page 19 - *Field Renovations at Crittenden*. This is currently artificial turf. What can we do to make sure this is replaced with live grass? Are we under any obligation to fund artificial turf on school district fields?

The Mountain View Whisman School District (MVWSD) is preparing to complete repairs to the track and field at Crittenden Middle School. The underlying infrastructure beneath the track and turf field requires correction, and the School District is coordinating with the original contractor to complete this work at the district's expense. Because these repairs require the removal of the existing turf, the City's role is limited to participating in the replacement of the field surface.

Under the City's existing joint use agreements, the City typically shares in the cost of maintaining or replacing the existing field type "like for like" to ensure continued community access. In this case, since the field is currently artificial turf, the City's cost participation would be toward replacing similar surfacing. City staff have, however, shared information with MVWSD about newer turf products that address some of the community's concerns. For example, newer infill materials made from organic sources (such as processed corn cob material) are now available as an alternative to traditional crumb rubber infill. These options are designed to reduce potential environmental and health concerns while maintaining the durability and usability of synthetic fields, thereby extending field availability.

It is also important to note that the existing artificial turf fields at school sites play a significant role in supporting community recreation. These fields are heavily used by local youth sports organizations and the broader community. Synthetic turf allows for consistent, year-round use, and at locations like Crittenden, field lighting extends usable hours into the evening. In contrast, natural grass fields require regular rest periods, seasonal closures—particularly during winter—and ongoing maintenance to remain playable. Based on current demand, the City is already unable to accommodate all requested field use hours, and a transition to natural grass at this location would significantly reduce field availability.

At this time, staff is not recommending the addition of new artificial turf fields in future park projects or at the Los Altos School District's future school campus that will operate under a joint-use agreement with the City.

57. Page 19 - *Citywide Trash Capture*- Is this related to stormwater management requirements?

The City has already achieved the June 30, 2025, 100% trash load reduction benchmark as required under the Municipal Regional Permit (MRP) 3.0. The recommended Citywide Trash Capture Phase III project is driven by the anticipated trash reduction requirements of the upcoming MRP 4.0.

58. Page 20 - *City Hall Remodels* - what is this for?

Various Departments are requesting office/space renovations to accommodate increased staffing levels, space needs, and/or changes to areas to improve functionality. This project captures several of the requests.

The Departments include the City Manager's Office, Public Works Department, Human Resources Department, and Finance and Administrative Services. The Departments have identified a need for various internal tenant improvements at City Hall. Improvements may include new workstation layouts to accommodate staffing, enclosing kitchens, creating offices for changing roles and confidentiality requirements, and more efficient use of space. This project combines all requests to streamline consultants and provide an efficient implementation effort by combining two or more Departments for packaging the design and construction efforts.

59. Page 20 27-37 and 27-38 - As in question 6, are we under any obligation to fund artificial turf replacements on school district fields?

Please see the response to Question 56.

60. Page 20 *Police CCTV Replacement*- is this related to ending the Flock contract?

No, this is not related to the Flock contract. This is CCTV around the current PD/FD Administration Building at 1000 Villa Street.

61. For the Rengstorff grade separation project, it says we are out of funding for the environmental clearance. Does this mean we are finished with the work? Is CEQA done?

The environmental documents are complete. The project has completed CEQA and NEPA clearance as part of the Preliminary Engineering and Environmental Clearance Phase (17-37) in 2022.

62. Why is the Historic Ordinance in the CIP?

There are five CIPs for advanced planning projects, including the Historic Preservation Ordinance Update. CIPs were created for these projects due to their multi-fiscal-year development and implementation timelines, and to assist budgeting across multiple funding obligations, including consultants, staff time, noticing, and community outreach activities.

63. Can the micromobility study also be done in the San Antonio Center area and not just Downtown?

Yes, the San Antonio Center area has been included in the staff's citywide review of proposed micromobility parking hub locations. These designated parking areas will be finalized in preparation for the launch of the scooter share pilot program.

ITEM 3.4 VTA Local Investment Plan Presentation

64. What is the process for soliciting and incorporating public input into the Local Investment Plan?

UTA's Deputy CEO, Greg Richardson, and Director of Strategy and Transformation (San Sargeant) will be presenting tonight to provide an update on what the Local Investment Plan is. The presentation is being framed as an invitation for input. UTA is welcoming input from individual members of the community and from the City Council (either individually or as a whole).

65. Will the City Council have an opportunity to provide formal input on behalf of the City into the Local Investment Plan?

Input from the City Council can be via individual members or as a whole.

66. If the City Council will not have the opportunity to provide input, will the City staff provide input on behalf of the City of Mountain View?

If the City Council wishes, staff can develop recommendations for the Council to consider.

ITEM 4.3 Biological Services Professional Services Agreement

67. How many nesting pairs and chicks were there last year?

In 2025, there were three successful breeding pairs:

1. A nest with one chick;
2. A nest with two chicks; and
3. A nest with one chick that was lost to predation.

ITEM 4.6 National Opioid Settlement - Remnant Defendants

68. What about future funds from these corporations?

There are no future funds from these corporations relating to this litigation. Entering into this settlement agreement requires the release of all related claims against these defendants. This funding goes to the County of Santa Clara for opioid prevention and public health efforts.

ITEM 4.7 Downtown Entertainment Zone Pilot Program

69. How do the Art & Wine Festival and the Farmer's Market fit into this?

The proposed Entertainment Zone would not affect the annual Art & Wine Festival. The Festival operates under a City Special Event Permit and a separate event license issued by the California Department of Alcoholic Beverage Control (ABC), which allows outside alcohol vendors to sell during the two-day event. In contrast, the Entertainment Zone framework only permits alcohol sales by participating in ABC-licensed brick-and-mortar establishments located within the designated zone. Therefore, the model traditionally used for the Art & Wine Festival would not comply with the parameters of Entertainment Zones under state law.

Staff have not received any indication from the Farmers' Market operator of interest in incorporating alcohol-related activities into their weekly operations. Additionally, the Market's primary location at the Caltrain Station, as well as its alternate location at Parking Lots 4 and 8, fall outside of the proposed Entertainment Zone boundaries.

70. Is busking included in the State Legislation?

Busking (e.g., street musicians or performers) is not addressed in SB 969, the law that authorizes Entertainment Zones. The State legislation is narrowly focused on allowing cities to establish Entertainment Zones where patrons may carry and consume alcoholic beverages purchased from participating ABC-licensed brick-and-mortar businesses within a defined area.

Current City rules around busking will still apply in the Entertainment Zone boundary:

- Street Performance is allowed with a special event permit (tied to a specific event)
- A Temporary Use Permit is required for activity occurring on private property
- Otherwise, street performances are prohibited from Mountain View City Code Section 3.17, which prohibits amplified music or sound that is cast upon a public street without a permit.

ITEM 6.1 Adopt City Council Policy A-13a, Disruption of Telephonic or Internet Service During City Council Meetings

71. Does this Policy apply to other City bodies (EPC, PRC, RHC, etc.) If not, is a similar policy necessary for those bodies? Do any existing Policies regulate or provide protection against Zoom-bombing and similar abuse?

The policy outlined in this report is required by California Government Code § 54953.4, which is only applicable to an "eligible legislative body," as defined, which, in the case of the City of Mountain View, refers only to the City Council. A similar policy is not required for Boards, Commissions, or Committees.

City Council Policy A-13, page 14, provides guidance for decorum for Council meetings and states, in part:

“While the Council is in session, all persons shall conduct themselves with reasonable decorum. The presiding officer may remove or cause the removal of any individual(s) for disrupting a meeting in accordance with California Government Code § 54957.95, as may be amended from time to time...”

Recent amendments to California Government Code § 54953 et seq. added California Government Code § 54957.96, clarifying that the presiding officer’s authority to remove or limit participation for disruptive behavior explicitly extends to participants attending remotely.

ITEM 6.2 Approve the Public Safety Building Construction Financing Plan and Recommended FY 2025-26 Fund Transfers and Appropriations

72. How long will the Ameswell/Measure G funds remain earmarked for the Public Service Building? Imagine it is for the life of the bonds, but what happens to the Ameswell funds after that?

Yes, Council has previously pledged the Ameswell revenues and 30% to 40% of annual Measure G revenues to the public safety building financing, which has a final maturity with a 30-year term. Council has the discretion to reallocate the Ameswell revenues once the bonds are repaid.

73. Property transfer taxes (such as Measure G) are at risk of being phased out via potential ballot measures this November. Backfilling Measure G proceeds would be a significant hit on the General Fund. What is our backup plan?

At \$3.2 million, the anticipated Measure G contribution is approximately 1.5% of the total estimated FY 2025-26 revenues.

The Ad Hoc Revenue Measure Committee is currently reviewing potential revenue measures for a 2026 ballot measure. In addition, the current Taxpayer Protection Act, as written, would not take effect until December 2028 if passed, allowing time to consider a 2028 ballot initiative as well.

Lastly, the annual Ameswell revenues (\$5.3 million) currently account for approximately 64% of the \$8.3 million in projected annual debt service. Ameswell's revenues are projected to continue growing, further reducing the Measure G portion of annual debt service.

74. What percentage does Shoreline Regional Park Community represent of the entire land area of the City of Mountain View?

Shoreline Park District is approximately 1,550 acres, and per federal census data, the City itself encompasses ~7,654 acres, equating to 20.2% for Shoreline.

75. What percentage of MVPD calls for service are in Shoreline?

Approximately 4% of police emergency calls for service originated from the Shoreline area. However, service demand alone does not fully capture resource demands/allocation. Please see the additional response below.

76. What percentage of MVFD calls for service are in Shoreline?

Approximately 6% of fire emergency calls for service originated from the Shoreline area. However, call volume alone does not fully reflect resource deployment. Please see the additional response below.

77. Does the City have a contingency plan in the event the Local Taxpayer Protection Act to Save Prop 13 passes? https://www.hjta.org/saveprop13_about_initiative/

At \$3.2 million, the anticipated Measure G contribution is approximately 1.5% of the total estimated FY 2025-26 revenues.

The Ad Hoc Revenue Measure Committee is currently reviewing potential revenue measures for a 2026 ballot measure. In addition, the current Taxpayer Protection Act, as written, would not take effect until December 2028 if passed, allowing time to consider a 2028 ballot initiative as well.

Lastly, the annual Ameswell revenues (\$5.3 million) currently account for approximately 64% of the \$8.3 million in projected annual debt service. Ameswell's revenues are projected to continue growing, further reducing the Measure G portion of annual debt service.

78. How was the percentage paid by the Shoreline Community calculated? Land%, Assessed Valuation %, population %, or a combo? Other criteria?

The initial Shoreline recommended contribution currently represents 5.3% of the projected \$189 million public safety building project. In 2025, the City contracted for a cost-allocation plan review/update for the Shoreline Community to ensure the City is fairly compensated for services rendered. The analysis included calls for service, staffing and deployment, and population and activity levels.

Approximately 4% of police emergency calls for service originated from the Shoreline area. However, service demand alone does not fully capture resource demand and allocation. The Shoreline area is served by one of the City's four police patrol beats, representing 25% of patrol deployment capacity. In addition, the Shoreline area accounts for approximately 21% of the City's average combined daytime and nighttime population (weighted 50% each).

Taking these factors into account, the 2025 Cost Allocation Plan determined that 17.6% of total Mountain View Police Department costs should be allocated to the Shoreline Regional Park Community (SRPC) Fund.

Approximately 6% of fire emergency calls for service originated from the Shoreline area. However, call volume alone does not fully reflect the resource. The Shoreline area is served by one of the City's five fire stations, representing 20% of total station coverage and response capacity.

Taking both service demand and resource allocation into account, the 2025 Cost Allocation Plan determined that 13.5% of total City of Mountain View Fire Department costs should be allocated to the SRPC Fund. Council could direct staff to increase the financial contribution to 13.5%.

79. How long does it take to pay off the debt?

The public safety building financing has a final maturity with a 30-year term.

80. We will have the opportunity to pay off the debt early and/or reissue bonds as economic situations change, correct?

That is correct. If market conditions indicate that refinancing the bonds would result in lower interest costs and annual debt service, staff would recommend refinancing at that time.

ITEM 6.3 Preliminary Review of Fiscal Year 2026-27 Recommended Budget

81. The staff report says that “The City has made significant strides in the development of affordable housing, yet we have an additional nine housing projects in the pipeline that are stalled due to insufficient funding.” What are they?

“Pipeline” refers to nine affordable housing projects at various stages in the process, including active projects that have been entitled and seeking to complete their funding, as well as future sites in North Bayshore that will involve staff time with predevelopment activities in the next 1-3 years:

- 87 E. Evelyn – Phase 1 (Affirmed) - pending status tax credit funding expected in May
- 96 W. El Camino Real (Danco) - pending status of tax credit funding expected in May
- 87 E. Evelyn - Phase II (Affirmed)
- 57-67 E. Evelyn (Charities)
- 1012 Linda Vista (Alta)
- 2320 W. El Camino Real (Alta)
- 3 sites – North Bayshore Precise Plan (including the City’s site at 1305 Space Park Way being evaluated for an affordable condo development)

82. What is the Sustainability Capital Improvement Project?

The Sustainability Capital Improvement Project funds the following: a Sustainability Analyst focused on decarbonization; two Climate Corps fellows for 10-month fellowships; and outreach and engagement activities to support community engagement on sustainability and resiliency.

The decarbonization analyst was initially funded in the Sustainability CIP for a limited period. This Sustainability CIP would fund the analyst's work for the coming fiscal year. The limited-term analyst focuses on opportunities for both City operations and the community to electrify their buildings and transportation to shift to carbon-free energy sources and save on energy costs. The analyst has led the following recent projects: fleet electrification and installation of municipal EV charging infrastructure, installation of heat pump water heaters in City facilities, and support of the heat pump water heater incentive program for residents. In the coming year, the analyst will focus on expanding the heat pump water heater rebate program, launching a heat pump rebate program, and supporting the Air District’s launch of rules 9-4 and 9-6 which will prohibit the sale of non-electric appliances for space and water heating, through participation in a regional work-group of cities and partner organizations to identify implementation barriers and supportive policies and programs cities can adopt to ensure successful implementation. Additionally, the analyst will continue to collaborate with Public Works on fleet electrification, securing adequate power for municipal facilities to allow for additional EV infrastructure, and launching an EV charging program for multi-family properties.

This collaborative contribution from the Sustainability Division is essential to augment the capacity and expertise in Public Works and to maintain the focus to drive projects forward. The analyst will also represent the City with the countywide Climate Collaborative, serving on the financing committee.

The Climate Corps fellows support community engagement and program implementation across all areas of the Sustainability Division's work. Additionally, the fellowship offers an entry point into local government sustainability work.

The community engagement funding supports all of the division's community engagement work, including participation in community events such as ice cream socials, city-sponsored events, and farmers' markets. This funding also covers the costs of hosting the City's Earth Day celebrations.

83. On the first page, under background, the revenues are not going to grow at the same pace. Is there anything to look at reserves to potentially back-feed some of these projects that we are doing?

Yes, staff does evaluate the use of reserves and the General Non-Operating Fund to support one-time expenditures and projects. However, as a best practice, ongoing expenditure should be funded with ongoing revenues. The City should avoid relying on reserves to cover ongoing costs, particularly if expenditures are outpacing revenue growth, as it is uncertain how long that trend will persist. This is especially important given that most expenditures are ongoing, primarily salaries and benefits.

The General Fund Budget Contingency Reserve has been established to provide one-time financial resources during uncertain economic conditions and can be used to backfill anticipated or unanticipated revenue declines, as approved by the City Council. This reserve is expected to have a balance of approximately \$3.1 million as of 6/30/26.

84. What do you consider bold initiatives the City is advancing?

To name a few, all of the Council Work Plan projects, Housing Element programs, Parks and Rec Strategic Plan, Biodiversity Plan, and 79 transportation and street projects totaling to \$320 million to maintain the City pavement network and continuously enhance bicycle and pedestrian facilities to promote active transportation.

Another initiative is the Rengstorff Grade Separation project. This will grade-separate the Peninsula Corridor Joint Powers Board Caltrain railroad crossing at Rengstorff Avenue by depressing Rengstorff Avenue and Central Expressway and maintaining the railroad tracks at their approximate existing elevation. In 2024, the cost estimate for the Rengstorff Project increased from \$262 million to \$453 million, resulting in a \$159 million funding shortfall. In November 2025, the City Council approved design modifications and other measures that reduced project cost by \$58 million, for a revised funding gap of \$99 million.

85. What is the consideration on Measure G about the potential ballot initiative to eliminate this parcel tax? Are there scenarios that you're working on how much this might cost us?

An initiative recently circulated by the Howard Jarvis Taxpayers Association and called “Save Prop 13” at the time signatures were gathered, appears to have received enough signatures to be placed on the November 2026 ballot. The signatures are still being verified. The initiative will appear on the ballot as the California Two-Thirds Vote Requirement for Special Taxes and Charter City Real Estate Transfer Tax Prohibition Initiative (25-0006A1).

In 2017, the California Supreme Court ruled in *California Cannabis Coalition v. City of Upland* that citizen-initiated tax measures only need 50% vote +1 to pass, not the two-thirds threshold usually required for special taxes. Since then, several property-based taxes have passed with less than 2/3 of the vote because they were citizen-initiated. The initiative expected to be on the November 2026 ballot would invalidate those taxes as of December 31, 2028.

In addition to the changes to the voter threshold for the parcel taxes, the initiative seeks to invalidate all real estate transfer taxes passed by charter cities, whether they were passed by citizens’ initiatives or with 2/3 vote of the electorate. If this initiative passes, all existing real property transfer taxes passed by charter cities that allow the city to collect more than the \$1.10 specified in the California Revenue and Taxation Code would become null and void on December 31, 2028. In addition, no new real property transfer taxes would be able to be passed by charter cities in the future.

The City applies a two-tiered tax structure based on the value of the property transferred:

- **Tier 1:** For transfers valued at \$6,000,000 or less:
\$1.65/\$500 (or fraction thereof) of total consideration
- **Tier 2 (Measure G):** For transfers valued at over \$6,000,000:
\$15.00/\$1,000 (or fraction thereof) of total consideration

Based on a five-year historical average, the City would have generated approximately \$15 million annually in total property transfer tax revenue under the current tax structure. This revenue is a significant funding source that supports a wide range of City priorities, including the Capital Improvement Program (CIP), housing projects, and public safety facilities.

Depending on the final outcome of the proposed initiative, the City could face a substantial reduction in this revenue stream. If realized, this would likely require using the General Fund Budget Contingency Reserve and the General Fund Reserve, along with immediate reductions to City services, programs, and capital improvement projects.

Staff have been actively engaged on this issue. Staff is coordinating with Dane Hutchings, our state lobbyist with the California Public Policy Group, and has shared our analysis evaluating potential impacts under various tax cap scenarios. Staff is working with Dane to advocate for a deal and monitor developments related to this potential ballot initiative. Last month, staff participated in a League of California Cities Educational Briefing on Initiative 25-006A1 and provided data/input in response to their request regarding the City’s property transfer tax revenues.

86. Under fiscal year 25-26, Page 5, the revenue estimates are up by miscellaneous reimbursements. Describe what you mean by reimbursements, and are they one-time money?

Miscellaneous revenue consists of a variety of reimbursement-based revenues (such as wildfire deployment) and non-specific revenues, including donations and grants. These revenues are typically not budgeted because they are unpredictable, variable in amount, and often one-time.

87. Fiscal year 26-27, estimating a projected operating balance of \$172,000 that is extremely low and concerning, which could easily be wiped out by a single cost overrun, correct?

Yes, the projected operating balance of \$172,000 is relatively modest, and we recognize it may be sensitive to cost or revenue fluctuations. However, projections can vary in both directions, and revenues may perform above expectations just as expenditure could exceed projections. Typically, expenditures do not exceed budgeted amounts.

The City's approach is to align service levels with available resources. The City does not operate to generate profit, but to provide services to the community in a fiscally responsible and sustainable manner.

Staff will continue to closely monitor revenues and expenditure throughout the year and will bring forward any necessary adjustments to maintain overall budget stability.

88. Staff is recommending six additional ongoing positions in the GOF. If the number of proposed projects were reduced dramatically, would there still be a need to hire more people?

The Budget Review Team carefully reviewed all budget requests, and these six recommended positions were identified after thorough consideration of the City's financial condition, current operational needs, and upcoming Council initiatives. These positions are critical to maintaining current service levels, implementing Council priorities, and delivering key outcomes.

The General Operating Fund budget presented in this staff report already includes the fiscal impact of all budget recommendations, including these six positions. Although there is uncertainty about future financial conditions, given the City's reserve levels and established prudent budgeting principles, staff is confident the City can maintain a balanced budget with these six recommended positions included.

89. On Page 7, update overhead charges: the staff is recommending updating overhead charges to reflect the cost of administration and support services. Is that all internal?

Yes, these are internal charges. Staff is updating the General Operating Fund (GOF) overhead charges to more accurately reflect the cost of administrative and support services provided to other City funds, as it has been over 10 years since the last cost allocation study. These charges reimburse the GOF for centralized services, such as the City Manager's Office, Human Resources, City Attorney's Office, Finance, and Information Technology, ensuring that costs are appropriately allocated to the funds that benefit from these services.

90. How often are reserve policies evaluated?

Council Policy A-11 (Financial and Budgetary Policy) is evaluated periodically and updated as needed. When changes are recommended, staff bring updates forward for Council consideration and adoption, following review and recommendation by the Council Finance Committee (CFC). The most recent revisions were adopted on January 23, 2024. Staff is currently preparing additional updates and anticipates bringing proposed changes to the CFC in May, followed by Council consideration.

91. Crossing guards, we do that in collaboration with the school districts. Is this something that we fully fund? Thinking outside the box on this issue, if we provided shuttles in the morning, could we cut back on the crossing guards?

School Districts provide a nominal amount (\$50k) toward crossing guard services, with the remaining \$509k in full cost borne by the City for the 21 locations with crossing guards. Staff would need to further research with the Districts the costs of shuttling students across Mountain View. It would not be dissimilar to providing school bus pick-up services, which would not be recommended as a City-provided service.

92. Page 11 - principal planning position, how many people are in the planning department compared to 2020? How does the development slowdown affect the department's workload?

The Community Development Department had 55.00 full-time equivalent (FTE) employees at the end of Fiscal Year 2020-21 (20.0 FTE assigned to the Planning Division). The Community Development Department was authorized up to 53.5 FTE employees in the adopted FY 2025-26 annual budget (20.0 FTE employees assigned to the Planning Division). The City Council authorized an additional 1.0 FTE Public Art Administrator position (assigned to the Economic Development Division) in the FY 2025-26 mid-year budget amendment, bringing the Community Development Department to an authorized 54.5 FTE employees. In FY 2023-24, the Housing Division was moved out of CDD and became its own department, resulting in a shift of 14 FTEs. The Planning Division has maintained relatively stable staffing levels overall, other than the two recent positions (Public Art Administrator and Principal Planner).

Workload comparisons are often challenging. However, any perceived slowdown in development activity as compared to 2020 has largely been offset by the increased complexity of state laws related to housing development projects, multiple, complex programs required to be implemented by the City's 2023-2031 Housing Element, larger development proposals, and a large number of priority projects on the City Council work plan assigned to long-range planning staff in the Community Development Department.

93. Page 11 contract services for homeless services- is this something that was requested due to the increase in homelessness? Could the contract be renegotiated with the current provider?

Since 2017, the City has provided funding to the Community Services Agency (CSA) to provide services to unhoused community members through an annual contract services funding agreement. This contract service with CSA has been a recommended expenditure in the City's Recommended Budget since 2017 and is not due to the increase in the unhoused count.

The current funding agreement is \$177,000, of which \$52,000 is the current unfunded balance as noted on page 11. The \$177,000 in funding is paid for the following services:

- A percentage of three CSA case management staff salaries who provide housing problem-solving, housing information and referral services, and case management services - \$120,000
- A portion of a full-time CSA case manager's salary who dedicates 70% of their time conducting focused outreach and completing housing assessments for those living in vehicles - \$42,000
- The facilitation of a 24/7 portable restroom with handwash station and daily servicing for clients - \$15,000

While the contract could be renegotiated with CSA, staff does not recommend renegotiation, as this could change service levels for housing problem-solving, housing information and referral services, case management services, and outreach services provided to Mountain View's most vulnerable individuals and families.

94. The sustainability division - how critical is this to the core functions of the City?

Council has adopted "Sustainability and Climate Resiliency" as one of its seven Strategic Priorities. Thus, the Sustainability and Resiliency Division is critical to carrying out initiatives to support various programs and efforts towards this priority. Sustainability staff identify strategies to reduce carbon emissions and lower energy costs, and bring expertise and additional capacity to collaborate with departments across the City to drive the development and implementation of projects. For example, the Sustainability team has worked with Public Works on installing energy-efficient systems to reduce energy consumption, operational costs, and environmental impact. These systems have included all-electric heat pump water heaters and LED lighting in municipal buildings to ensure efficient operation of City facilities. Sustainability also initiated the installation of solar energy systems at three facilities to reduce utility costs and enhance operational resiliency through on-site energy generation.

In addition to supporting operational efficiency, Sustainability leads the development of policies and programs to meet both the council's adopted Carbon Neutrality goal and the Strategic Priority of Sustainability and Climate Resiliency. This has been achieved through the implementation of multiple Sustainability Action Plans. The current plan, Sustainability Action Plan 4, is nearing completion. Major accomplishments include the adoption of a fleet electrification policy, the installation and replacement of EV charging infrastructure at municipal facilities and for the public, the adoption of local amendments to the state's Building Standards Code, referred to as Reach Codes, and the launch of an electric bike and heat pump water heater rebate.

Sustainability also participates in both regional and statewide initiatives and policy development to spur broader climate action and progress on climate goals. Division staff participate in the Leadership Advisory Team of the Santa Clara County Climate Collaborative and the Steering Committee of the statewide Local Government Climate Alliance. Regional and statewide efforts, such as supporting the Air District's electric appliance rules (Rules 9-4 and 9-6), which will prohibit the sale of non-electric appliances for space and water heating, through participation in a regional work-group of cities and partner organizations to identify implementation barriers and supportive policies and programs cities can adopt to ensure successful implementation, are an essential part of the City's strategy to meet its climate goals.

Finally, Sustainability and Resiliency also work to ensure future emergency preparedness for climate risks in Mountain View. A Climate Vulnerability Assessment is nearing completion, and opportunities for operational resiliency across City functions will be identified with this new information.

A council study session is scheduled for May 26th to discuss the City's decarbonization goal, actions, and strategy.

95. There is a request for a Deputy City Manager position and a request for a Management Fellow position. How do you justify having two people? If the number of projects were reduced, would that help with the need to hire more staff?

The request for a Management Fellow is a continuation of a limited-period position that has been in the City Manager's Office over the last decade as part of the City's collaboration with the Next Generation Regional Management Fellowship, which supports the training of the next leaders of local government. This is an entry-level position in the administrative operations of the City Manager's Office. The Fellow supports projects by conducting research and data analysis, developing programs, writing reports, and managing projects aligned with department and Council priorities.

Anticipated projects for the new Fellow include the following:

- Assisting with a comprehensive review of City Council Policies, as a part of the FY 2025-27 Council priority to Update Council Policies, Legislative/Contract Templates, and Other Documents.
- Supporting Community for All initiatives to assist vulnerable residents, including the implementation of the *Pathways to Housing* Homeless Response Strategy adopted by the City Council in June 2025.
- Helping develop and implement City wellness initiatives
- Providing routine support for other special projects.

The Deputy City Manager is a new position. The position is needed to provide continued high-level policy development, negotiations, and project leadership for Council- and citywide-priority projects. This need has been met for the past year by retired Public Works Director Dawn Cameron, who returned to work for the City as a retired annuitant Assistant City Manager on an hourly basis. During her time in this role, Ms. Cameron has been essential in leading negotiations with major corporations and developers, identifying strategies to address safety to manage the public right-of-way, strategic planning and negotiations for the Rengstorff Grade Separation project, and negotiating real estate transactions. Ms. Cameron will not be continuing beyond the current fiscal year. A new Deputy City Manager position will provide the capacity to continue these and other special projects and high-level responsibilities in the City Manager's Office, where the department currently lacks staffing capacity due to heavy workloads, competing demands, and complex projects.

96. The phrase limited period for all these new hires, what's considered a limited Period?

Limited-period positions are funded for a specific period of one year. For the limited-period positions reflected in the recommended budget, funding is from July 1, 2026, to June 30, 2027. Extensions beyond the initial term may be considered and approved based on the budget position and the department's ongoing operational needs. As a limited period positions, these roles are considered "at will."

97. For the standard and poor triple AAA underlying credit rating, reserves are set at 20%, or can the policies be modified to still meet the standards and free up money for current projects?

The reserve level is established by Council Policy A-11 (Financial and Budgetary Policy), which is within the Council's discretion to modify. Currently, Policy A-11 sets a reserve target of 20–25% of General Operating Fund budgeted expenditures.

Staff believes this range represents a prudent and well-established standard, and it is an important factor supporting the City's AAA credit rating. At the 20% level, the reserve provides approximately 2.4 months of cash to cover expenditure, offering a meaningful buffer against revenue volatility and unforeseen events.

For context, many cities maintain reserve policies in the 20-30% range, and staff believe the current reserve policy strikes an appropriate balance between financial stability and flexibility.

98. When calculating the revenues and expenditures for the next few years, what inflation rate do you use?

Non-personnel expenditure projections use a different inflation factor for each expense category, ranging from 3% to 8%. Personnel expenditures include a modest COLA, with significant costs such as healthcare and pension being provided by an outside consultant.

Revenue projections are based on economic conditions and historical trends and vary by revenue type. Some sources, such as rents, leases, and contracts, have specified annual increases. Fees are generally adjusted for inflation, typically the CPI. Other revenues may remain flat or decline, with growth assumptions applied conservatively, typically starting at 2%. Property tax and similar revenues are forecast based on historical trends and, in conjunction with outside consultants, may range up to 6.5% in some cases.

99. In the General Fund transportation reserve, there's money set aside for the community shuttle. If the council votes to increase shuttle service, can the \$5,000,000 reserve level be modified?

The Transportation Reserve policy is part of Council Policy A-11. The policy does not specifically define a minimum reserve level. It states that the reserve is to be used for major priority transportation projects to mitigate traffic congestion, improve infrastructure, and meet the needs of the City, as authorized by the City Council. The Council has discretion to direct staff on which projects are funded and the level of funding from this reserve.

However, it is worth noting that this reserve is funded by Business License Tax revenue under Measure P, approved by voters in November 2018. Under that measure, the City Council earmarked 80% of the increased business license tax for transportation purposes. The current estimated annual revenue from the business license tax is about \$4.4 million.

Currently, the Transportation Reserve is primarily allocated to community shuttle services, which is about \$3.6 million in fiscal year 2026–27. Staff would recommend that Council consider limiting the use of this reserve to ongoing expenditures within the annual revenue, to ensure long-term sustainability.

It is also important to note that any additional funds dedicated to shuttle services would reduce funding for other transportation projects.

100. How many employees took advantage of the partial leave reserve?

In calendar year 2025, 36 employees utilized the City's **paid parental leave program** benefit, representing 5.5% of the workforce. Of those employees, 28 were male, and 8 were female. We view the strong uptake among male employees in particular as a positive indicator that the benefit is being embraced across the organization, and we remain committed to fostering a culture where family-friendly policies are part of our foundation and help give the City of Mountain View a competitive advantage in recruiting and retaining employees.

101. What is the City's plan for future years for the General Fund Child-Care Commitment Reserve?

Fiscal year 2025–26 will most likely be the final year of utilizing the remaining funds in this reserve, which was originally established from the Packard Foundation repayment.

Beginning in fiscal year 2026–27, staff is recommending an ongoing \$100,000 allocation in the General Operating Fund to continue supporting the childcare subsidy program approved by Council for low-income families using the childcare center.

102. Can staff provide more information about why GF Reserve must be funded with \$41 million? What is the basis for the 20-25% requirement?

Council Policy A-11, "Financial and Budgetary Policy", states that the General Fund Reserve should be funded at 20.0% to 25.0% of GOF budgeted expenditures. The \$41 million represents approximately 20% of projected GOF expenditures for FY26-27.

103. Can staff provide clarity regarding the expenditure related to the Equipment Replacement Reserve? What is the amount now, when exactly will the nearly \$10 million expenditure occur, and what will be the result afterward?

The ERF has approximately \$11.5 million in the FY 2025–26 Adjusted Budget, which includes \$5.3 million from the adopted budget and \$6.2 million in carryover from prior-year encumbrances. The carryover budget represents purchase orders submitted before the end of the last fiscal year, but the related items were not delivered or paid by year-end; therefore, the budget was carried into the current fiscal year to make those payments.

Of the \$11.5 million budget, approximately \$3.2 million has been spent to date, and \$4.6 million is currently encumbered for pending deliveries and payments. In addition, as we wrap up the remainder of this fiscal year, we will enter additional purchase orders to complete planned spending. Staff anticipates approximately \$2.1 million in additional purchase orders, bringing the total estimated expenditure to \$9.9 million.

Of this \$9.9 million, the breakdown is as follows:

- \$6.6 million for Fleet
- Approximately \$500,000 for Golf-related items
- \$1.8 million for Police Radio
- \$1.0 million for Information Technology

After these expenditures, the estimated ending balance of the ERF reserve will be \$19.7 million, which is \$3.9 million above the 25% reserve target.

For fiscal year 2026–27, a \$5.6 million budget is recommended for planned equipment replacement. The \$3.9 million surplus (above the 25% target) for this fiscal year will help cover part of this budget. However, due to the pause in General Operating Fund contributions to the ERF, the fund will still require approximately \$1.7 million in contributions from other funds to maintain the 25% funding level.

Of this amount, about \$1.2 million is expected to come from non-General Fund sources through transfers into the ERF. There will also be earnings interest in this fund, which will help support these purchases. Combined with the \$3.9 million from this fiscal year and the \$1.2 million transfer from other funds, this will allow the fund to maintain the 25% reserve target level in FY 2026–27.

104. Please share the Budget-in-Brief for years after 23-24.

The FY 2024–25 Budget-in-Brief was deferred due to timing constraints and the prioritization of the City’s first-ever Popular Annual Financial Report (PAFR), which was issued in coordination with the audited financial statements.

The FY 2025–26 Budget-in-Brief is currently in progress and will be provided upon completion. Looking ahead, filling the vacant Principal Analyst position in FASD will strengthen our capacity to ensure these reports are delivered consistently and on time.